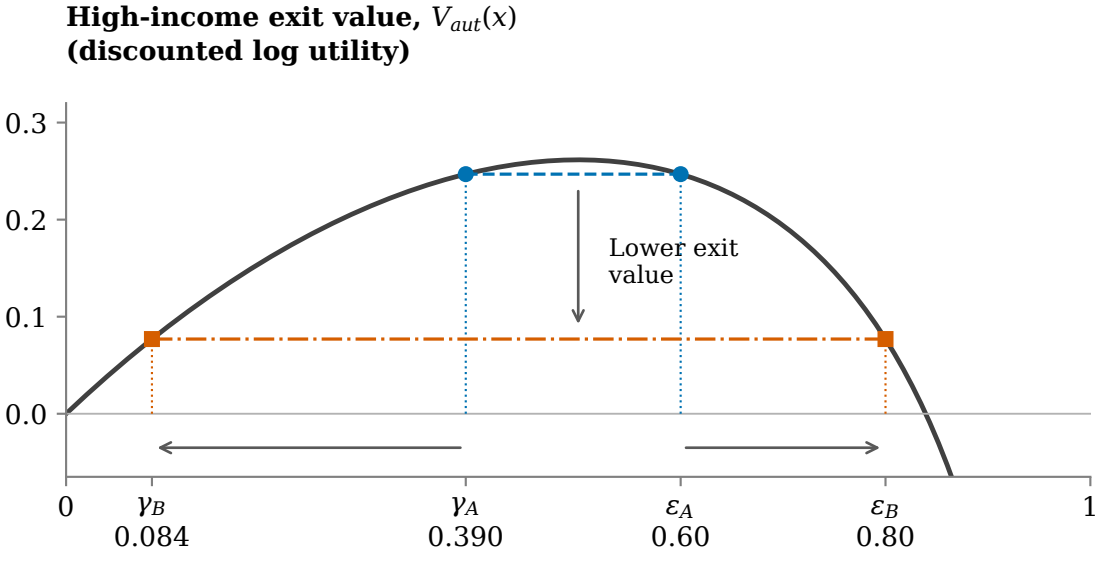
High-income exit value, $V_{aut}(x)$
(discounted log utility)
0.3
0.2
0.1
0.0
Lower exit value
0
γ_B
0.084
γ_A
0.390
ε_A
0.60
ε_B
0.80
1
Risk spread, x (goods units)